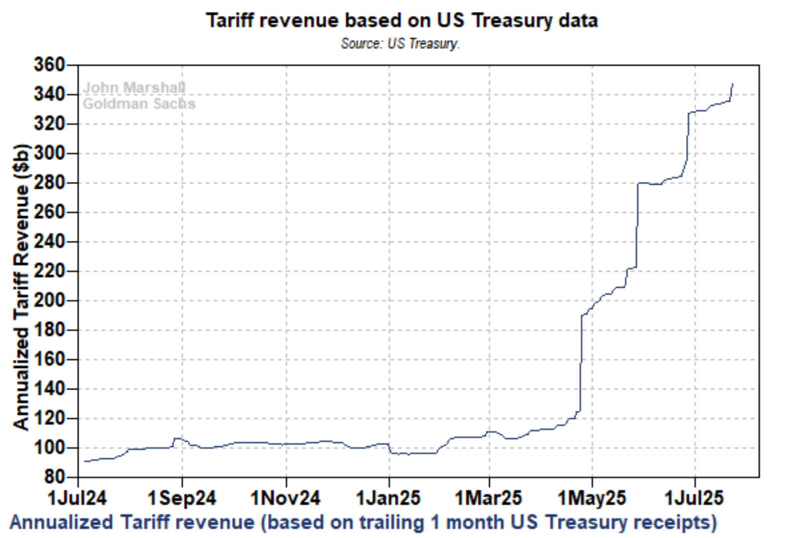
Weekend Cross-asset Dislocations (27-Jul-2025)

Research | Options | 4 HOURS AGO

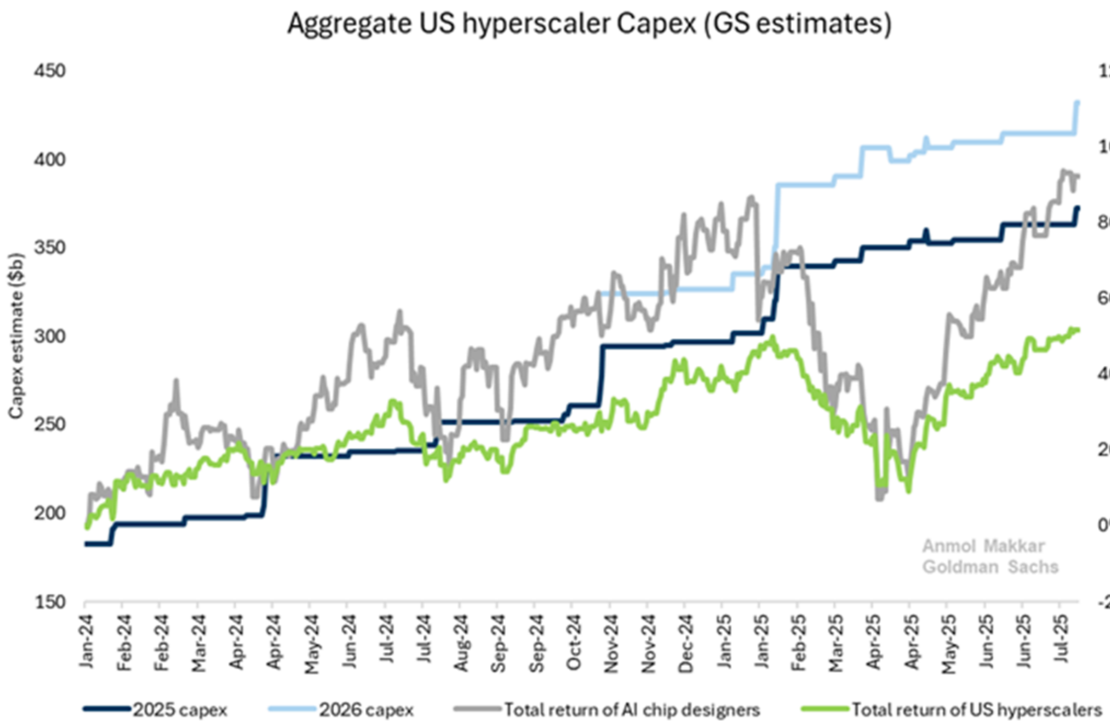
Tariff payments to the US Treasury were only up 1% over the past month

Major monthly US Treasury data was reported Thursday after the close; growth in tariff payments has slowed significantly over the past month (up only 1% m-m). The US Treasury is collecting tariff revenue at a pace of $357bn/year based on the past month vs $103bn at this time last year. Stability in broad tariff rates across the US's three largest trading partners (China, Mexico, Canada) likely contributed to the stability in tariff payments over the past month. Where do tariff payments go from here? Over the past 10 years, tariff payments have ebbed and flowed as policies have changed, and importers adapted. Upward pressure on Tariff payments may come as inventories are depleted and imports rise; downward pressure may come as manufacturers/consumers substitute away from foreign goods.



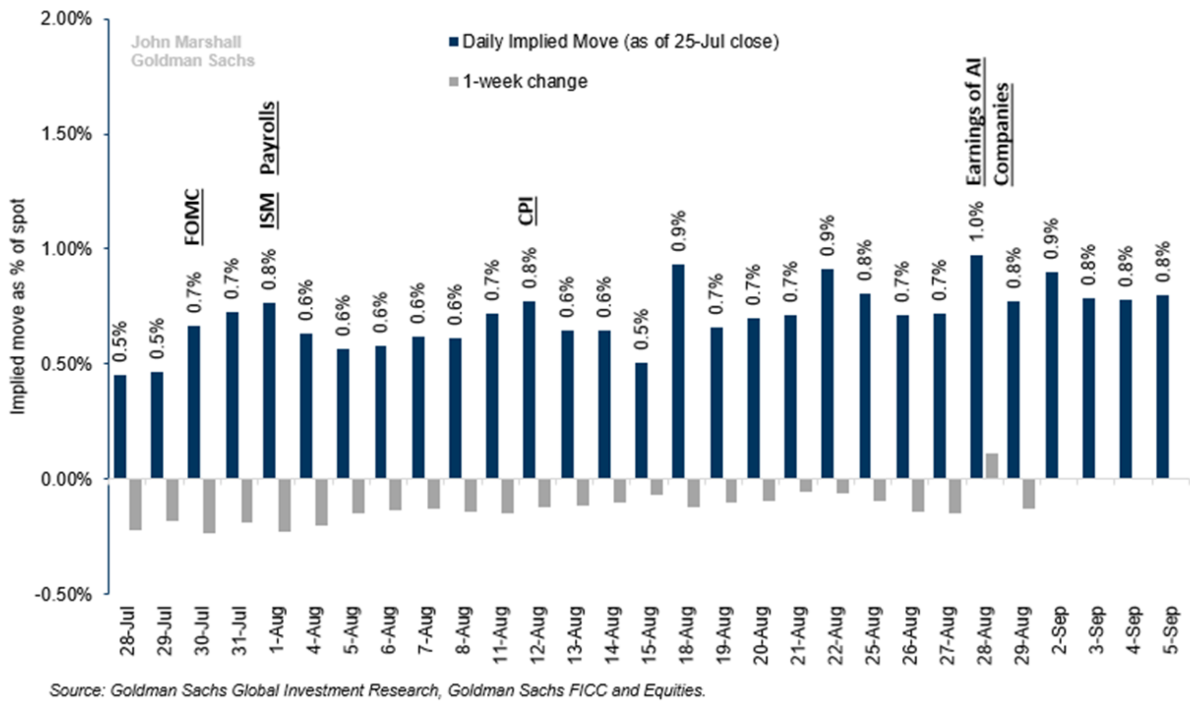
AI capex estimates moved higher this week following the first week of Tech earnings report

We track the aggregate capex from the major providers of AI services to gauge enthusiasm for this new category of services. Guidance for 2025 and 2026 was revised up on the back of recent earnings reports. While the immediate capex expensing feature of the recently passed tax bill has been a tailwind for capex among several companies reporting this earnings season, our discussions suggest that Tech investors had already expected hyperscaler capex guidance to increase this quarter.



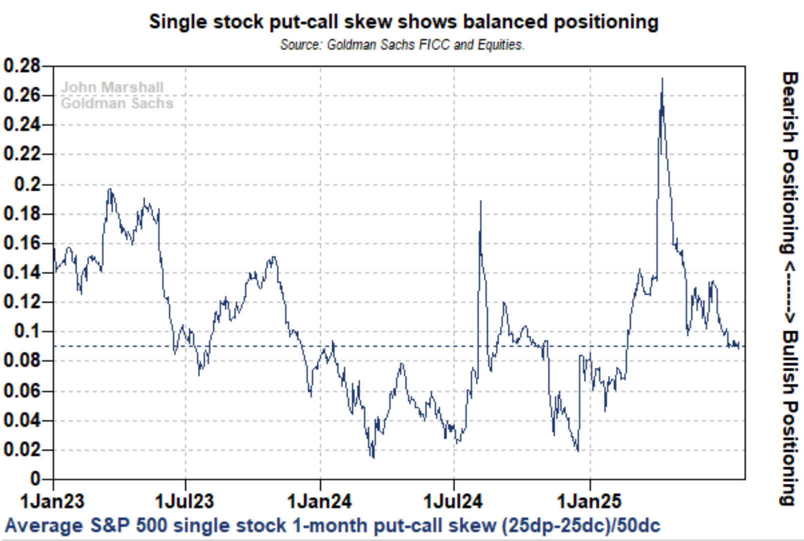
SPX daily options prices: Volatility expectations decline across the curve

The equity rally over the past week allowed volatility expectations to decline for the next several weeks. The daily implied moves for the FOMC meeting and upcoming ISM/Payrolls have dropped to low levels relative to history. There is limited volatility priced in for early August, suggesting investors are no longer focused on Tariff negotiation catalysts.



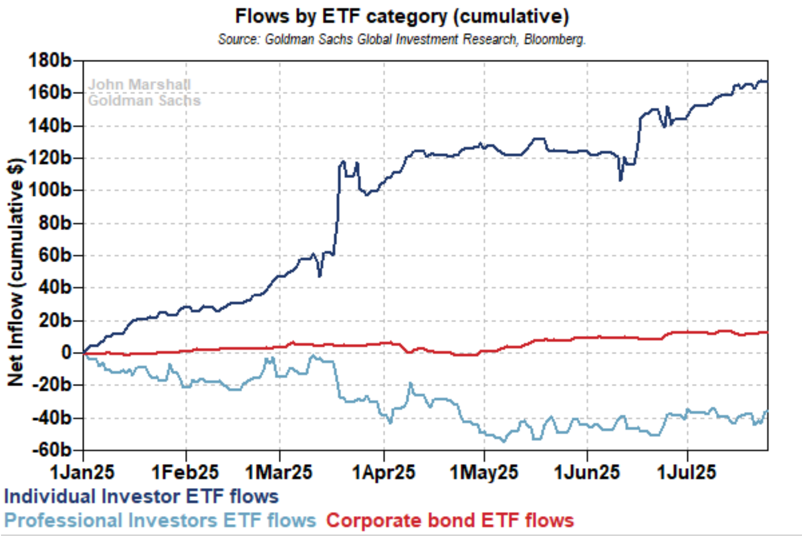
Balanced positioning in single stock options

We do not see significant crowding on the long or short side in S&P 500 single stock options. We believe put-call skew in S&P 500 stocks is a far more relevant indicator of forward index returns than call buying in meme stocks. This metric shows that despite the S&P 500 at an all-time-high, investors are not crowded into call options on large-cap stocks.



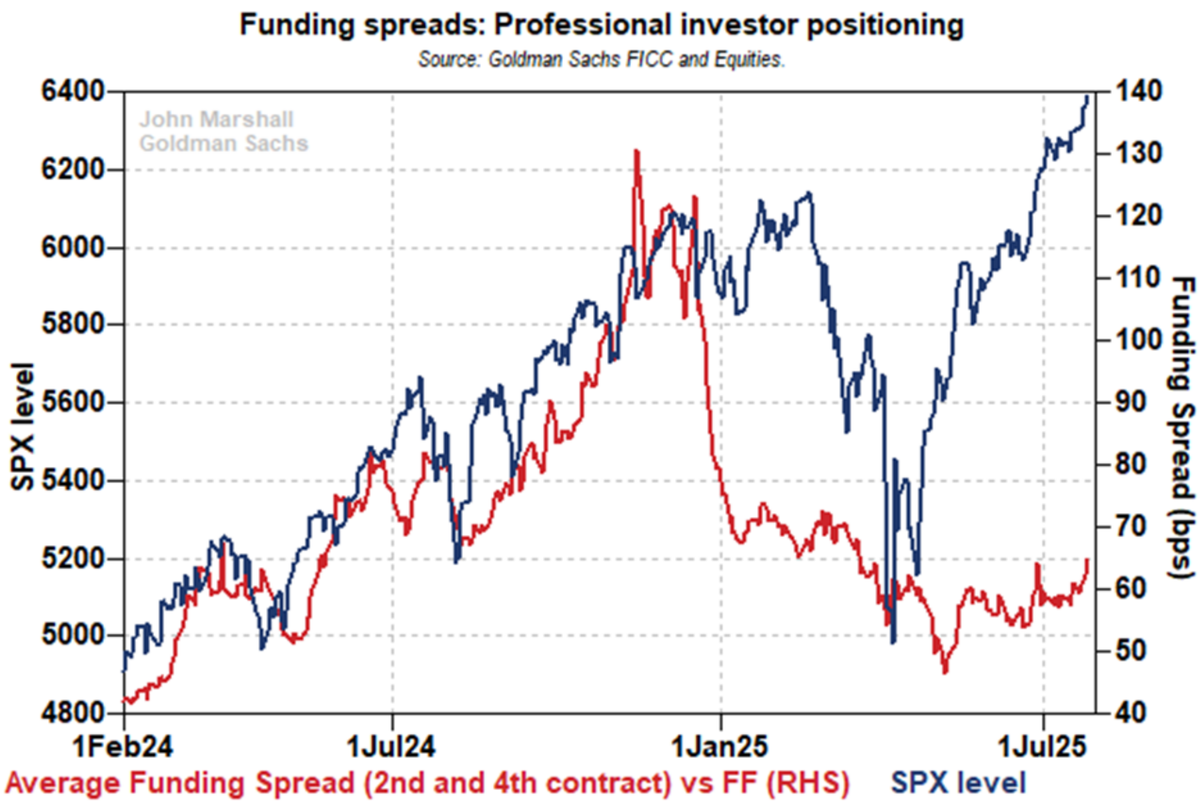
Individual investors resume modest buying in ETFs

This is reassuring after a two-month period where individual investors paused their buying of ETFs. A longer-term analysis suggests that the pace of net inflows for individual investor ETFs is back to its historical trend.



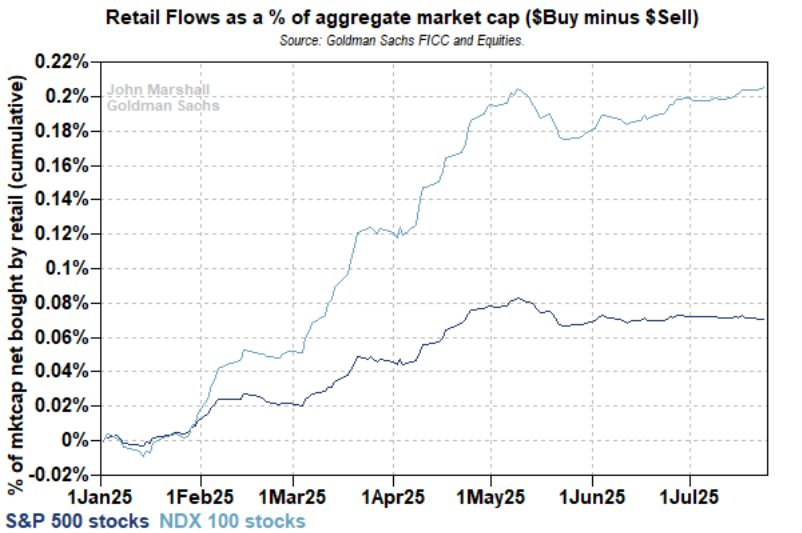
Professional investor positioning remains modest vs history

We believe professional investors in futures/swaps will re-risk when the Fed resumes cutting rates.



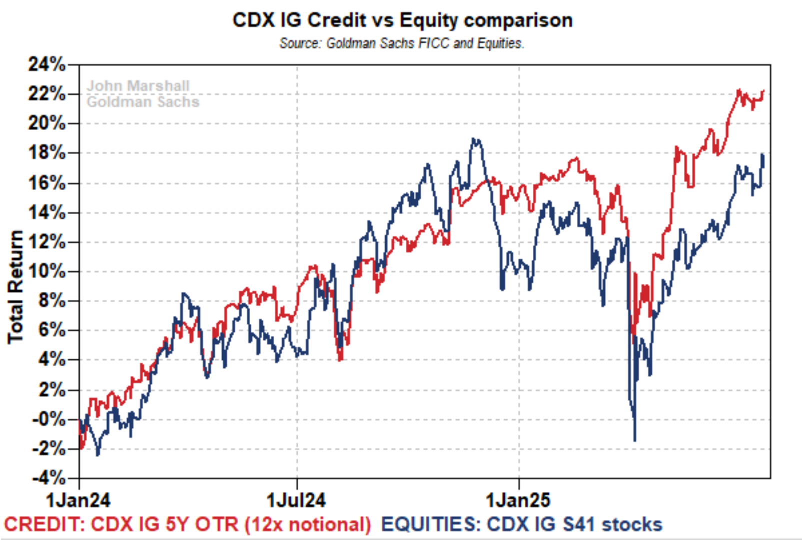
Retail investors aren't buying SPX or NDX single stocks (on net)

This is surprising given all the meme stock activity in the market. It is clear from our data that retail investors are focused on small-caps in the crypto/AI/retail/quantum-computing spaces rather than on SPX and NDX stocks broadly.



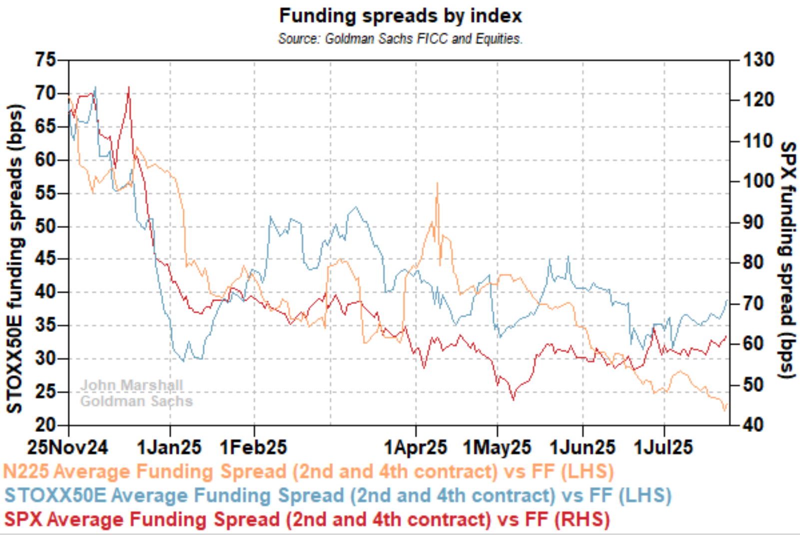
Equities have partially closed the gap with credit

Over the past week, credit has rallied more modestly than equities, particularly in the investment grade cohort. Stocks with investment grade debt are still below their December 2024 highs, while selling credit protection passed 2024 highs for the second time in April.



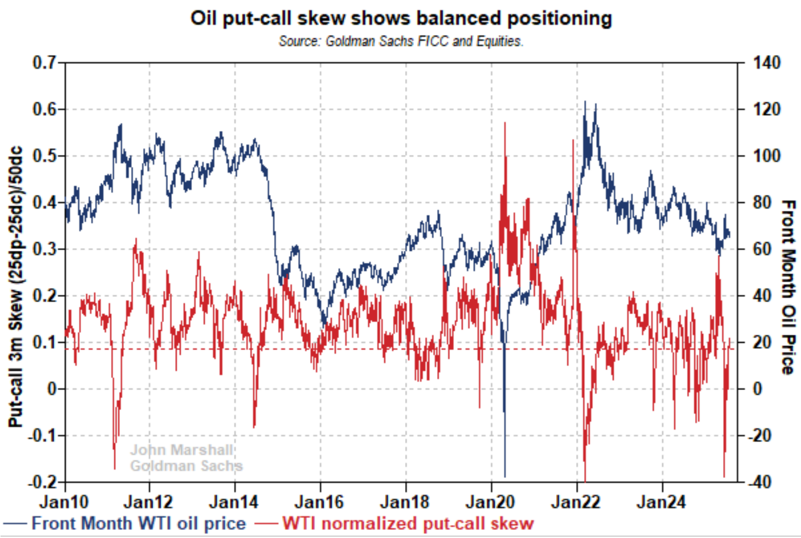
Funding spreads suggest N225 selling and SX5E buying flow

Demand appears to have softened among professional investors in N225, while they have marginally strengthened in SX5E futures/swaps.



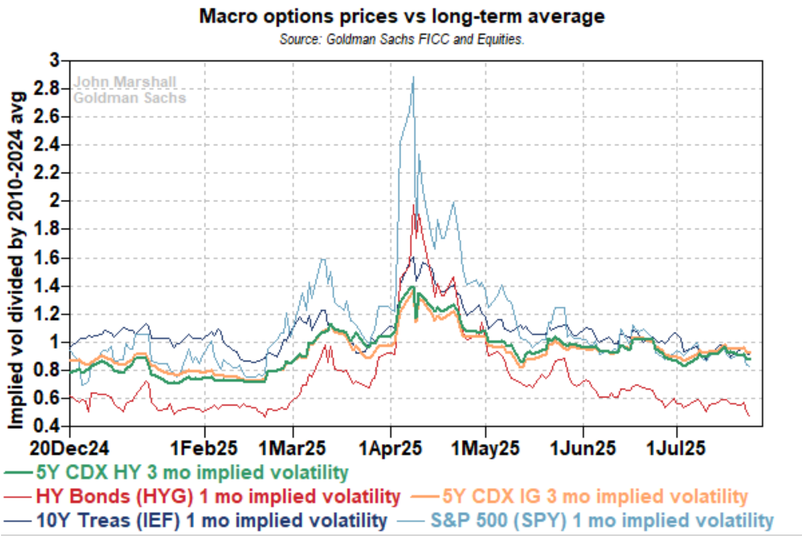
Oil put‑call skew remains close to long-term average levels

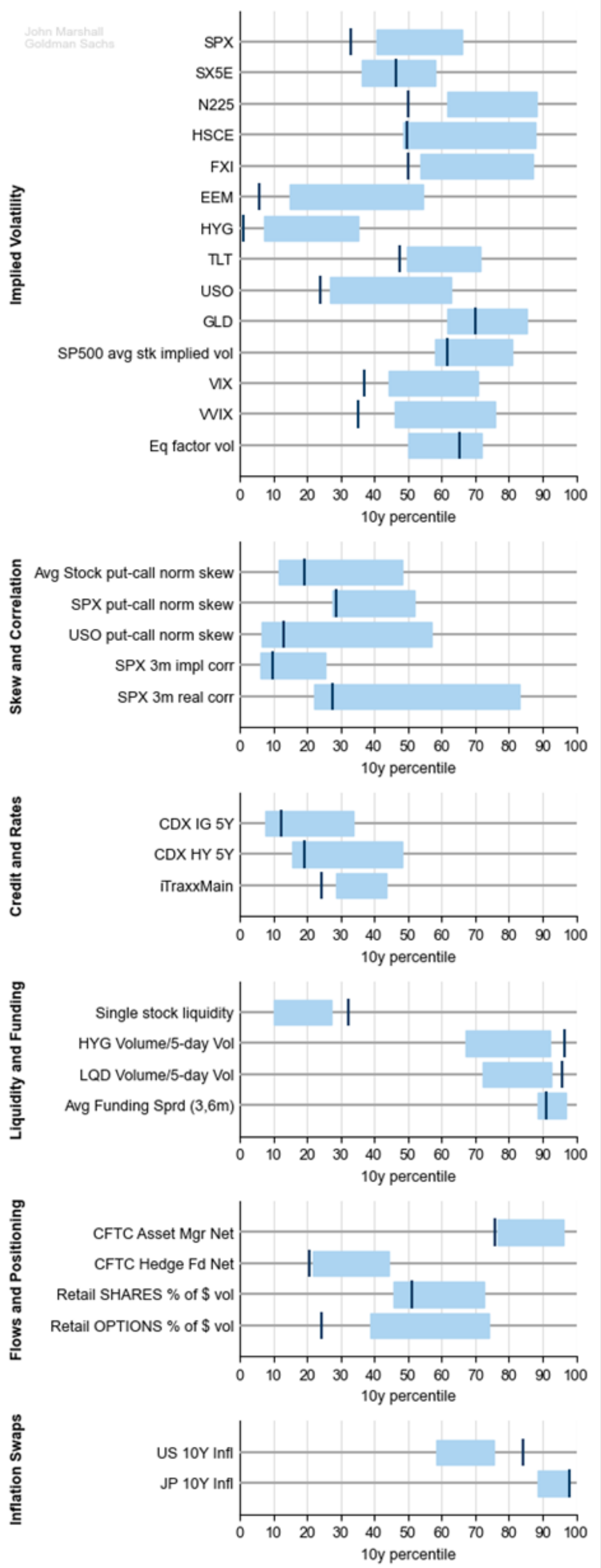
This suggests there isn't significant directional positioning in oil options despite ongoing uncertainties.



HY Credit options prices are lower than other asset classes relative to history

Three-month implied volatility for the HYG is at half of its 14-year average.





*Shaded bar represents the 1-year 25th and 75th percentiles